China also shaped the government's initial caution. Before the crisis, policymakers had believed an independent Bangladesh was not in Indian interests because it would be susceptible to Chinese influence or taken over by pro-China communists. When the crisis had started unfurling, Gandhi had instructed the Indian intelligence chief to assess the impact of recognition of Bangladesh or support to the guerrillas. A key question related to the latter was whether Pakistan's "close ally" China would react militarily. An influential assessment after the military crackdown by Krishnaswamy (K.) Subrahmanyam, who led the defense ministry's think tank, noted that Chinese involvement was a possibility since the northern mountain passes were open. Finally, the ghost of the 1962 China war and its impact on Nehru, who had been accused of being unprepared, played into Gandhi's reluctance.[140]

The inability of the Pakistani military to re-establish control and a refugee influx into India changed Delhi's calculations. It worried about the political, economic, and social impact of this flow, particularly into areas where the security and communal situations were already delicate.[141] Subrahmanyam's assessment, which argued for intervention, added to government concerns that the longer the instability continued, the more likely that China-backed, left-wing extremists would come to dominate the AL, which had been allowed to set up a government-in-exile in India.[142] Thus India would be better off supporting the moderate AL and trying to ensure a solution as soon as possible. A related fear was that if extremists took over and led an independent Bangladesh, they would collaborate with the increasingly active Naxalites in West Bengal for a "Greater Bengal."[143]

Thus, in late April, Gandhi instructed the Indian military to organize and train the guerrillas, who had been operating from India, and prepare for possible military action as well.[144] At this stage, despite differences within the Indian government, this support was not for the creation of an independent state, and India refused to recognize Bangladesh.[145] It also decided against direct military intervention at this stage—a decision shaped by concern that, even if Beijing did not intervene directly, there could be a repeat of the 1965 wartime Chinese threats and skirmishes if India and Pakistan went to war. Delhi instead hoped to pressure Pakistan into political accommodation that would ensure an AL government in East Pakistan. To